

History of ULIP

1971 India's first Unit Linked Insurance Plan is launched by UTI in collaboration with the LIC. ULIP with embedded life cover is offered.

2001 Private insurers offer ULIPs, which come with a tax benefit. Life insurers outsource fund management to mutual fund companies.

2002 IRDA stops outsourcing of fund management to AMC's and insurers are in a soup as their core business is actuarial.

2005 Government allows investment up to Rs 1 lakh in tax-saving MFs with a 3-year lock-in. MFs, insurance players chase same customers.

2008 Life Insurance Council prevents insurers from tying up with AMC's to offer insurance bundled with mutual fund. IRDA-SEBI tussle begins.

2009 SEBI bans MFs from charging entry and exit load. This means that AMC's would not make investors pay for commissions.

2010
JANUARY SEBI sends showcase notices to 13 insurance companies.
FEBRUARY Finance Ministry asks SEBI and IRDA to sort

out differences.
MARCH SEBI Chairman goes to Hyderabad to sort out differences with IRDA, but is stonewalled by IRDA.

APRIL 9 SEBI issues order banning 14 insurance companies from issuing ULIPs and collecting money from policy owners.

APRIL 10 IRDA issues a notice the next day, restoring status quo for insurance firms.

APRIL 12 Finance

Ministry asks both to seek legal opinion on if investment component of ULIPs need to be regulated by SEBI.

"Since most of the investment in ULIP is in the capital market, SEBI should have a say in these products. Over Rs 2,40,000 crore is invested in the markets through ULIPs, if they are not regulated now, there may be an issue later." But by that argument, insurers are simply a forum who collect money and invest it to be able to pay for the unforeseen. And by this logic, the RBI

could demand regulatory rights on fixed income investments made by insurance companies.

S.B. Mathur, secretary-general of Life Insurance Council, believes that it's the sector's success that is causing the ripples. Insurers claim that their asset base is growing thanks to their penetration and presence. Private insurers say that they have

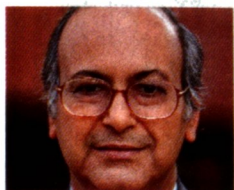
8,785 offices and LIC has 3,000 offices, which are spread across 500 cities, while MFs have not been able to go beyond the top 50 cities of India. While insurance companies issue four crore new policies each year, the total investor base of MFs hovers around two to three crore only.

In a classic Indian case, instead of talking with each other and resolving the issue, the regulators have landed in court. After the Finance Ministry's intervention, SEBI held its previous order in abeyance on April 13, but maintained that all new products would have to be approved by it. A conspicuous silence from IRDA seems to imply that zero-commission regime is on its way for the insurance sector too, even as the matter will be referred to the courts.

However, the final outcome of the battle between IRDA and SEBI will benefit investors as the Government seems to be in favour of a zero commission regime. Undoubtedly, the insurers will suffer as they will now be arm-twisted to lower their commission structures. Till date, a large portion of an investor's money has been going into the agent's pocket, but the Finance Ministry and the capital market regulator want to change this. The attempt, therefore, is to get rid of the devil in the details. ■

“Due to large amounts of money flowing into insurance, it seems to have become an issue or else why would SEBI wake up after 10 years?”

S.B. MATHUR,
Secy-General, Life
Insurance Council



“The moment SEBI tightened norms for MFs and their commission spends, distributors started selling ULIPs, which give high commissions to agents.”

DHIRENDRA KUMAR,
CEO, Value Research



“Since ULIP investments go into the capital market, these should be regulated by SEBI. Joint regulation of such hybrid products is a good idea.”

SANJAY NIRUPAM,
Lok Sabha MP

